

HOME BASED PROFESSIONAL SERVICES

Business Plan

START-UP COSTS				
Your Home-Based Agency			January 1, 20XX	
COST ITEMS	MONTHS	COST/ MONTH	ONE-TIME COST	TOTAL COST
Advertising/Marketing	3	\$300	\$2,000	\$2,900
Employee Salaries*	4	\$500	\$2	\$2,002
Employee Payroll Taxes and Benefits	4	\$100	\$1,500	\$1,600
Rent/Lease Payments/Utilities	4	\$750	\$2,500	\$5,500
Postage/Shipping	1	\$25	\$25	\$50
Communication/Telephone	4	\$70	\$280	\$560
Computer Equipment		\$0	\$1,500	\$1,500
Computer Software		\$0	\$300	\$300
Insurance		\$0	\$60	\$60
Interest Expense		\$0	\$0	\$0
Bank Service Charges		\$0	\$0	\$0
Supplies		\$0	\$0	\$0
Travel & Entertainment		\$0	\$0	\$0
Equipment		\$0	\$2,500	\$2,500
Furniture & Fixtures		\$0	\$0	\$0
Leasehold Improvements		\$0	\$0	\$0
Security Deposit(s)		\$0	\$0	\$0
Business Licenses/Permits/Fees		\$0	\$5,000	\$5,000
Professional Services - Legal, Accounting		\$0	\$1,500	\$1,500
Consultant(s)		\$0	\$0	\$0
Inventory		\$0	\$0	\$0
Cash-On-Hand (Working Capital)		\$0	\$1,000	\$1,000
Miscellaneous		\$0	\$2,000	\$2,000
ESTIMATED START-UP BUDGET				\$26,472

*Based on part-time employees. This may change once you hit your growth benchmark.

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Business Plan

Projected profit and loss model: The model below shows a sample of the projections a small business is forecasting for their first 12 months of operations. The top portion of the table shows projected sales and gross profit. This is a good place to begin creating the company's sales forecast. The next section itemizes the recurring expenses the business is projecting for the same months. These should be consistent with the estimated start-up costs completed in the prior section. At the bottom of this model, it will possible to see when the company is becoming profitable and what expense items are the most impactful to its profitability. There is a blank table in the Appendix to complete the business' own start-up cost projections.

START-UP COSTS													
Your Home-Based Agency													January 1, 20XX
REVENUE	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YTD
Estimated Sales	\$5,000	\$13,000	\$16,000	\$7,000	\$14,500	\$16,400	\$22,500	\$23,125	\$24,549	\$22,000	\$25,000	\$27,349	\$216,423
Less Sales Returns & Discounts	\$0	(\$350)	\$0	(\$206)	(\$234)	\$0	\$0	(\$280)	(\$1,200)	(\$1,600)	\$0	(\$2,400)	(\$6,270)
Service Revenue	\$0	\$0	\$0	\$0	\$0	\$250	\$350	\$100	\$0	\$0	\$1,245	\$1,360	\$3,305
Other Revenue	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$1,500	\$0	\$0	\$0	\$0	\$1,500
Net Sales	\$5,000	\$12,650	\$16,000	\$6,794	\$14,266	\$16,650	\$22,850	\$24,445	\$23,349	\$20,400	\$26,245	\$26,309	\$214,958
Cost of Goods Sold*	\$2,000	\$5,200	\$6,400	\$2,800	\$5,800	\$6,560	\$9,000	\$9,250	\$9,820	\$8,800	\$10,000	\$10,940	\$86,569
Gross Profit	\$3,000	\$7,450	\$9,600	\$3,994	\$8,466	\$10,090	\$13,850	\$15,195	\$13,529	\$11,600	\$16,245	\$15,369	\$128,389
EXPENSES	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YTD
Salaries & Wages	\$2,500	\$2,500	\$3,500	\$5,000	\$5,000	\$5,000	\$8,000	\$9,000	\$9,000	\$9,000	\$9,000	\$9,000	\$76,500
Marketing/Advertising	\$400	\$450	\$450	\$450	\$900	\$900	\$900	\$900	\$900	\$900	\$1,200	\$1,200	\$9,550
Sales Commissions	\$250	\$650	\$800	\$350	\$725	\$820	\$1,125	\$1,156	\$1,227	\$1,100	\$1,250	\$1,367	\$10,821
Rent	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,125	\$1,125	\$1,125	\$1,125	\$1,125	\$1,125	\$15,000
Utilities	\$250	\$150	\$200	\$200	\$200	\$250	\$250	\$250	\$200	\$200	\$250	\$250	\$2,650
Website Expenses	\$175	\$175	\$175	\$175	\$175	\$175	\$175	\$175	\$175	\$175	\$225	\$225	\$2,200
Internet/Phone	\$110	\$110	\$110	\$110	\$110	\$110	\$110	\$110	\$110	\$110	\$110	\$110	\$1,320
Insurance	\$165	\$165	\$165	\$165	\$165	\$165	\$165	\$165	\$165	\$165	\$165	\$165	\$1,980
Travel	\$100	\$0	\$0	\$250	\$0	\$0	\$0	\$0	\$675	\$800	\$0	\$0	\$1,825
Legal/Accounting	\$1,200	\$0	\$0	\$450	\$0	\$500	\$0	\$0	\$0	\$0	\$0	\$250	\$2,400
Office Supplies	\$125	\$125	\$125	\$125	\$125	\$125	\$125	\$125	\$125	\$125	\$125	\$125	\$1,500
Interest Expense	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Total Expenses	\$6,525	\$5,575	\$6,775	\$8,525	\$8,650	\$9,295	\$12,100	\$13,131	\$13,827	\$13,825	\$13,575	\$13,942	\$125,746
Income Before Taxes	(\$3,525)	\$1,875	\$2,825	(\$4,531)	(\$184)	\$795	\$1,750	\$2,064	(\$298)	(\$2,225)	\$2,670	\$1,427	\$2,643
Income Tax Expense	(\$529)	\$281	\$424	(\$680)	(\$28)	\$119	\$263	\$310	(\$45)	(\$334)	\$401	\$214	\$396
NET INCOME	(\$2,996)	\$1,594	\$2,401	(\$3,851)	(\$156)	\$676	\$1,488	\$1,754	(\$253)	(\$1,891)	\$2,270	\$1,213	\$2,246

*In the service industry, Cost of Goods Sold is the monetized value of the time spent on the client.

APPENDIX

START-UP COSTS				
Your Home-Based Agency			January 1, 20XX	
COST ITEMS	MONTHS	COST/ MONTH	ONE-TIME COST	TOTAL COST
Advertising/Marketing				
Employee Salaries				
Employee Payroll Taxes and Benefits				
Rent/Lease Payments/Utilities				
Postage/Shipping				
Communication/Telephone				
Computer Equipment				
Computer Software				
Insurance				
Interest Expense				
Bank Service Charges				
Supplies				
Travel & Entertainment				
Equipment				
Furniture & Fixtures				
Leasehold Improvements				
Security Deposit(s)				
Business Licenses/Permits/Fees				
Professional Services - Legal, Accounting				
Consultant(s)				
Inventory				
Cash-On-Hand (Working Capital)				
Miscellaneous				
ESTIMATED START-UP BUDGET				

Instructions for Getting Started with Estimated Start-Up Costs

Determining a business' startup costs is critical to ensure enough cash is available to begin business operations within the budgeted time frame as well as within the cost budget. Startup costs typically fall within two categories: monthly costs and one-time costs. Monthly costs cover costs that occur each month during the startup period, and one-time costs are costs that will be incurred once during the startup period.

Steps for preparation:

- **Step 1:** Enter the company name and the date this estimate is being prepared.
- **Step 2:** Enter the number of months and the monthly cost for each cost item that is recurring. For one-time costs only, skip the monthly costs. If there are cost items that have both recurring and one-time amounts, enter those as well.
- **Step 3:** Once all of the costs are entered, review the individual items and total amount to see where the budget can be fine-tuned or move something out into the future when more revenue is coming in.

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Business Plan

START-UP COSTS													
Your Home-Based Agency												January 1, 20XX	
REVENUE	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YTD
Estimated Product Sales													
Less Sales Returns & Discounts													
Service Revenue													
Other Revenue													
NET SALES													
COST OF GOODS SOLD													
GROSS PROFIT													
EXPENSES	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YTD
Salaries & Wages													
Marketing/Advertising													
Sales Commissions													
Rent													
Utilities													
Website Expenses													
Internet/Phone													
Insurance													
Travel													
Legal/Accounting													
Office Supplies													
Interest Expense													
Other 1													
TOTAL EXPENSES													
INCOME BEFORE TAXES													
INCOME TAX EXPENSE													
NET INCOME													

* In the service industry, Cost of Goods Sold is the monetized value of the time spent on the client.

Instructions for Getting Started on Profit & Loss Projections

Completing projections for Profit and Loss of a new company is a good exercise to understand and communicate when the company will begin to break even and see how sales and profits will grow. The top portion of the model to the left, Revenue, is a good way to forecast sales, month by month for the first year. The lower portion then applies estimated expenses for the same period of time to derive the business' profitability.

Steps for preparation:

- **Step 1:** Enter the company name and the date this projection is being prepared.
- **Step 2:** For each month, beginning in January or whenever the start is estimated, enter the expected sales to be. This could be for a single service or multiple services. Add lines to this model for additional offerings. From this, subtract any product returns or discounts that are to be tracked (these should be shown as negative numbers, for example, -10). Below Net Sales, enter the Cost of Goods Sold. This refers to the monetized value of the time spent on a particular client.
- **Step 3:** For each month, enter the estimated salaries, marketing, utilities, and other items that are projected.
- **Step 4:** Once all of the costs have been entered, review the individual items and total amount to see where projections can be fine-tuned or move something out into the future when more revenue is coming in. The objective is to get to profitability and positive cash flow as quickly as possible.